In 1934, during the height of the Great Depression, a remarkable book with the unremarkable title of *Security Analysis* was published. Its coauthors, Benjamin Graham and David Dodd, had been working on it for five years. Their writing time had been interrupted by teaching at Columbia University and helping clients cope with the aftereffects of the 1929 crash. Graham later said the delay was providential, for it allowed him to include "wisdom acquired at the cost of much suffering."[24] *Security Analysis* is universally acclaimed as a classic; it is still in print after five editions and 80 years. It is impossible to overstate its influence on the modern world of investing.

Fifty years after the original publication, the Columbia University Business School sponsored a seminar marking the anniversary. Warren Buffett, one of the school's best-known alumni and the most famous modern-day proponent of Graham's value approach, was invited to address the gathering. His speech, titled "The Superinvestors of Graham-and-Doddsville," has become, in its own way, as much a classic as the book it honored.[25]

Most in the audience that day in 1984—university professors, researchers, and other academicians—still held firmly to modern portfolio theory and the validity of the efficient market hypothesis. Buffett, to no one's surprise, firmly disagreed, and in his speech he quietly demolished the platform on which rested the efficient market theory.

He began by recapping the central argument of modern portfolio theory—that the stock market is efficient, all stocks are priced correctly, and therefore anyone who beats the market year after year is simply lucky. Maybe so, he said, but I know some folks who have done it, and their success can't be explained away as simply random chance.

And he proceeded to lay out the evidence. All the examples he presented that day were of people who had managed to beat the market over time, and who had done so not because of luck but because they followed principles learned from the same source: Ben Graham. They all reside, he said, in the "intellectual village" of Graham-and-Doddsville.

Although they may make specific decisions differently, Buffett explained, they are linked by a common approach that seeks to take advantage of discrepancies between the market price and intrinsic value. "Needless to say, our Graham and Dodd investors do not discuss beta, the capital asset